FUNDING LOAN AGREEMENT

between

[COMPANY NAME] (RF) PROPRIETARY LIMITED

Registration number: [Insert reg.no]

(“**Lender**”)

and

[INSERT THE BENEFICIARY’S NAME] PROPRIETARY LIMITED

(Registration number: **[insert the Beneficiary reg. no]**)

(“**Borrower**”)

This Agreement is made between:

(1) **[COMPANY NAME] (RF) PROPRIETARY LIMITED**, a ring-fenced profit company duly incorporated in accordance with the laws of South Africa under registration number: 2021/590050/07 (the “**Lender**”); and

(2) **[INSERT THE BENEFICIARY’S NAME] PROPRIETARY LIMITED**, a company registered in accordance with the laws of South Africa under registration number: **[insert the Beneficiary reg. no]**) (the “**Borrower**”).

IT IS AGREED AS FOLLOWS:

1. DEFINITIONS AND INTERPRETATION

1.1. In this Agreement:

1.1.1. Clause headings and the heading of the Agreement are for convenience only and are not to be used in its interpretation;

1.1.2. an expression which denotes -

1.1.2.1. any gender includes the other genders;

1.1.2.2. a natural person includes a juristic person and vice versa;

1.1.2.3. the singular includes the plural and vice versa; and

1.1.2.4. a Party includes a reference to that Party's successors in title and assigns allowed at law.

1.2. In this Agreement, unless the context indicates a contrary intention, the following words and expressions bear the meanings assigned to them below, and cognate expressions bear corresponding meanings:

1.2.1. "**Absa**" means ABSA Bank Limited;

1.2.2. "**Agreement**" means this funding loan agreement, including any annexures or schedules if any;

1.2.3. "**Advance**" means, in respect of the Loan Amount, any amount lent and/or advanced from time to time by the Lender to the Borrower in terms of this Agreement (including through making payments to the Suppliers on behalf of the Borrower);

1.2.4. "**Assets of the Borrower**" means the Borrower's movable property and effects, such as the Borrower both now possesses and in the future becomes possessed of, without any exception, and wherever situate (whether at the Borrower's registered offices, or at any other place or places) and, without in any way limiting the generality of these provisions, including the Borrower's stock and merchandise, the Borrower's right, title and interest in and to all goods acquired under hire-purchase agreements, the Borrower's interest in and to all lease agreements entered into by the Borrower in respect of movable property, all claims or debts of whatever nature or kind which may now be owing or which may in the future become owing to the Borrower from whatever cause arising, and the rights to all quotas, permits, licences and the like;

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1.2.5. **"Attorneys"** means any firm of attorneys that may be selected and instructed by the Lender, at its

1.2.6. **"Applicable Law"** means the common law and statutory law applicable in South Africa, including any present or future constitution, decree, judgment, legislation, order, ordinance, regulation, statute, treaty, directive, rule, guideline or practice issued by any relevant authority, governmental body, agency or department or by any central bank or other fiscal, monetary, regulatory, self-regulatory or other authority or agency which is applicable to this Agreement, compliance with which is mandatory or otherwise generally complied with;

1.2.7. **"BBBEE Act" means the Broad-Based Black Economic Empowerment Act No. 53 of 2003;**

1.2.8. **"Black Persons" means natural persons who are "Black People" as defined in the BBBEE Act (as read together with the Codes of Good Practice issued under the BBBEE Act) and Black shall have a corresponding meaning;**

1.2.9. **"Capital Repayment Date" shall bear the meaning ascribed thereto in clause** 1.2.20.1 **below;**

1.2.10. **"Business Review" means the business review process to be undertaken by the Lender on the Borrower in terms of which, amongst others, it continues to assess and monitor the financial, economic and operational performance of the Borrower as part of its post-funding or portfolio monitoring processes;**

1.2.11. **"Companies Act" means the Companies Act No. 71 of 2008, as amended;**

1.2.12. **"Conditions Precedent" means the conditions precedent set out in clause** 3**;**

1.2.13. **"Deed of Cession of Book Debts" means the written deed of cession of book debts to be executed by the Borrower, in term of which the Borrower irrevocably and unconditionally cedes in securitatem debiti to the Lender, as continuing covering security for the due and proper performance of the Borrower's obligations in respect of this Agreement and any further indebtedness of the Borrower to the Lender, all of the Borrower's right, title and interest in and to the Borrower's existing and future book debts, on the terms of the deed of cession of book debts; [Drafting note: Adjust accordingly depending on security to be provided.]**

1.2.14. **"Deed of Pledge" means the written pledge and cession of shares and claims to be executed by the shareholder(s) of the Borrower, in terms of which the said shareholder(s) irrevocably and unconditionally pledges his/her/its shares in the Borrower and cedes its claims in securitatem debiti to the Lender, as continuing covering security for the due and proper performance of the Borrower's obligations in respect of this Agreement and any further indebtedness of the Borrower to the Lender, on the terms of the deed of pledge; [Drafting note: Adjust accordingly depending on security to be provided.]**

1.2.15. **"Designated Bank Account" means the separate bank account to be opened by the Borrower with Absa, in terms of clause** 6 **below, into which the Lender may pay the Advances, in terms of this Agreement;**

1.2.16. **"Disbursement Date" means the date upon which the Lender effects a disbursement of the Advance or Loan Amount to the Borrower in terms of this Agreement;**

1.2.17. **"Dispose or Disposal" or any other cognate expression means to sell, alienate, donate, exchange, distribute, transfer or to dispose in any other manner whatsoever;**

1.2.18. **"Distribution" shall have the meaning ascribed thereto in terms of the Companies Act;**

1.2.19. "Event of Default" means any one or more of the events or circumstances described as such in Clause 14 (**Events of Default**);

[1.2.20.] "**First Repayment Date**" means, –

[1.2.20.1.] in respect of the capital amount that constitutes the Loan Amount, a date falling 12 (twelve) months from the Disbursement Date ("**Capital Repayment Date**") (including any Interest that is accrued thereon as from the Capital Repayment Date); -and

1.2.19.1.[1.2.20.2.] in respect of the Interest, **a date falling 30 (thirty) days from the Disbursement Date ("Interest Repayment Date"),**

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and provided that, notwithstanding anything in the foregoing to the contrary, all the unpaid amounts in terms hereof shall be due and payable on the Final Repayment Date;

1.2.20.[1.2.21.] "**Final Repayment Date**" means –

1.2.20.1.[1.2.21.1.] the date falling [xxx] (**number in words**) months from the Capital Repayment Date (or if such day is not a business day, the next following business day) in terms of which the Borrower shall be obliged to repay the aggregate Advances together with Interest and any other amount due; or

1.2.20.2.[1.2.21.2.] such earlier date as the Unpaid Sum is settled,

in full in terms of this Agreement;

1.2.21.[1.2.22.] "**Ford**" means Ford Motor Company of Southern Africa (Manufacturing) Proprietary Limited, company registered in accordance with the laws of South Africa under registration number 1923/002555/07 [**or insert the relevant name of the Championing OEM**];

[1.2.23.] "**Ford Support Letter**" means a letter issued by Ford in terms of which **inter alia** Ford supports and/or commits to creating or influencing its suppliers (including its dealership network) to procure services and/or goods from the Borrower as part of enabling Ford to meet its market access requirements; **[Drafting note: Make deletions/changes as may be necessary** ~~eg~~e.g. **"Isuzu Agreement** means an agreement concluded or to be concluded between Isuzu and the Borrower governing the relationship between Isuzu and the Borrower in terms of which, amongst others, the lender renders or supply products and/or goods to Isuzu on the terms and conditions contained therein; **]**

1.2.22.[1.2.24.] "**Funding Documents**" means collectively, or separately and individually depending on the context – [**Drafting note: Adjust the below accordingly depending on security to be provide.**]

1.2.22.1.[1.2.24.1.] **this Agreement;**

1.2.22.2.[1.2.24.2.] **the Deed of Cession of Book Debts;**

1.2.22.3.[1.2.24.3.] **the Deed of Pledge;**

1.2.22.4.[1.2.24.4.] **the General Notarial Bond;**

[1.2.24.5.] **the Guarantee;** - **and**

1.2.22.5.[1.2.24.6.] **the Suretyship;**

1.2.23.[1.2.25.] **"General Notarial Bond"** means a general notarial bond to be registered in favour of the Lender over the Assets of the Borrower in an amount totalling R**[Insert applicable figure]** (**[insert figure in words]** Rand) plus costs, as collateral security for all of the liabilities and obligations of the Borrower (including the obligation of the Borrower to repay the Loan Amount) to the Lender under this Agreement, on terms which are acceptable in all respects to the Lender;

1.2.24.[1.2.26.] **"Guarantee"** means the guarantee entered into on or about the date hereof between the Guarantor (as guarantor) and the Lender (as creditor) pursuant to which the Guarantor guaranteed payment of all amounts due by the Borrower to the Lender in terms of the Funding Documents up to an amount of the Loan Amount; **[Drafting note: Retain if guarantee form spart of required security. If not, delete]**

1.2.25.[1.2.27.] **"Guarantor"** means **[insert name]** Proprietary Limited, a company duly incorporated in accordance with the laws of South Africa under registration number: [insert registration number/adapt if definition if guarantor is a natural person]; **[Drafting note: Retain if guarantee form spart of required security. If not, delete]**

1.2.26.[1.2.28.] **"Interest"** means interest on the amount of the total Advances or Unpaid Sum (as the case may be) from time to time as detailed in Clause 5.1 (**Calculation of Interest**) below;

1.2.27.[1.2.29.] **"Interest Repayment Date" shall bear the meaning ascribed thereto in clause** 1.2.20.2 **above;**

1.2.28.[1.2.30.] **"Loan"** means **the loan availed, or an extension of credit** made available, by the Lender to the Borrower **in the form of Advances** in terms of this Agreement;

1.2.29.[1.2.31.] **"Loan Amount"** means an aggregate amount of R9 925 118.00 (nine million nine hundred and twenty-five thousand one hundred and eighteen Rand);

1.2.30.[1.2.32.] **"Loan Purpose"** means the purpose for which the Loan Amount and/or Advance is made available to the Borrower, namely, namely to – **[Drafting note: Adjust accordingly depending on loan purpose.]**

1.2.30.1.[1.2.32.1.] enable the Borrower to procure Products from Suppliers which may be valued up to R[Insert applicable figure] ([insert figure in words] Rand) ("**CapEx Spend**") out of the Loan Amount. It being recorded further that the CapEx Spend shall be spent on, amongst others, the procurement of Products which are necessary to ensure the proper performance of the Borrower pursuant to the terms of the Ford Support Letter and thereafter funding the purchase price which relates to the said Products; and

1.2.30.2.[1.2.32.2.] fund the working capital requirements of the Borrower out of the remaining balance of the Loan Amount (in an amount not exceeding R[Insert applicable figure] ([insert figure in words] Rand)) ("**Working Capital**");

1.2.31.[1.2.33.] "**Material Adverse Event**" means **any event, circumstance or matter or combination of events, circumstances or matters which has or is likely to have, in the sole opinion (acting reasonably) of the Lender,** a material adverse effect on:

1.2.31.1.[1.2.33.1.] the business, operations, property, condition (financial or otherwise) or prospects of the Borrower; and/or

1.2.31.2.[1.2.33.2.] the ability of the Borrower to perform its obligations (financial or otherwise) under this Agreement; and/or

1.2.31.3.[1.2.33.3.] the validity, enforceability and/or legality of this Agreement, or the Lender's rights or remedies under this Agreement, including any security granted hereunder;

1.2.31.4.[1.2.33.4.] ability of the Borrower to comply with any Applicable Law(s) to which it is subject;

1.2.32.[1.2.34.] "**Parties**" means, collectively the Lender and the Borrower, and **Party** means, as the context requires, any one of them;

1.2.33.[1.2.35.] "Potential Event of Default" means any event or circumstance which, with the giving of notice, lapse of time or fulfilment of any other condition, would be or constitute an Event of Default;

1.2.34.[1.2.36.] "Power of Attorney" means an irrevocable and unconditional special power of attorney conferred by the Borrower on the Lender, inter alia, authorising the execution by the parties thereto, and registration, of the General Notarial Bond in the terms that are acceptable in all respects to the Lender;

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1.2.35.[1.2.37.] "Products" means the equipment, machinery, stock, goods, services and/or products which the Borrower orders from Suppliers from time to time as part of ensuring its proper business performance as a consequence of the Ford Support Letter; **[Drafting note: Make deletions/changes as may be necessary.]**

1.2.36.[1.2.38.] "**Prime Rate**" means the publicly quoted rate of interest as certified by any manager (whose appointment or authority or designation it shall not be necessary to prove) of any one of FirstRand Bank Limited, Nedbank Limited, Absa and The Standard Bank of South Africa Limited as being the prime lending rate at which such bank lends in South African rand from time to time;

1.2.37.[1.2.39.] "**Repayment Date**" means the last business day of every subsequent month that follows the Interest Repayment Date and Capital Repayment Date (as the case may be);

1.2.38.[1.2.40.] "**Security Interest**" means any agreement or arrangement having the effect of creating a security interest or right of possession, including any mortgage, charge (whether fixed or floating), pledge, cession, cession in **securitatem debiti**, lien, lease, right of retention, right of set-off or claim (but excluding any right of set-off, consolidation, merger or combination of accounts arising in favour of a banker by operation of law), hypothecation, assignment, security interest, title retention, trust arrangement, preferential arrangement or encumbrance whatever, however created or arising;

1.2.39.[1.2.41.] "**Signature Date**" means the date of signature of this Agreement by the last Party signing;

1.2.40.[1.2.42.] "**South Africa**" means the Republic of South Africa;

1.2.41.[1.2.43.] "**Suretyship**" means each of the suretyship to be executed by **Nontobeko Dube**, which shall be on such terms as are satisfactory and acceptable in all respects to the Lender;

1.2.42.[1.2.44.] "**Supplier**" means any supplier of the Product(s) to the Borrower from time to time;

1.2.43.[1.2.45.] "Taxes" means all taxes, charges, imposts, levies, deductions, withholdings or fees of any kind whatsoever, or any amount payable on account of or as security for any of the aforegoing on whomsoever imposed, levied, collected, withheld or assessed by any monetary or fiscal authority, together with any penalties, additions, fines, surcharges

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or interest relating thereto, and the words Tax and Taxation shall be construed accordingly;

1.2.44.[1.2.46.] **"Term"** means the period calculated with effect from the Interest Repayment Date up to and including the Final Repayment Date;

1.2.45.[1.2.47.] **"Unpaid Sum"** means any Advance (or sum) due and payable but unpaid by the Borrower under this Agreement; and

1.2.46.[1.2.48.] **"ZAR or Rand"** means the South African rand, the lawful currency of South Africa.

1.3. Any reference in this Agreement to –

1.3.1. **"business hours"** shall be construed as being the hours between 08h00 and 16h30 on any business day. Any reference to time shall be based upon South African Standard Time;

1.3.2. **"days"** shall be construed as calendar days unless qualified by the word **business**, in which instance a **business day** will be any day, other than a Saturday, Sunday, or public holiday, on which banks are open for general business in Johannesburg;

1.3.3. **"law"** means any law of general application and includes the common law and any statute, constitution, decree, treaty, regulation, directive, ordinance, by-law, order, or any other enactment of legislative measure of government (including local and provincial government), statutory or regulatory body which has the force of law;

1.3.4. **"person"** means any person, company, close corporation, trust, partnership, or other entity, whether or not having separate legal personality; and

[1.3.5.] **"writing"** means legible writing ~~and~~ in English and excludes any form of electronic communication contemplated in the Electronic Communications and Transactions Act, No 25 of 2002.

1.4. The words **include** and **including** mean **include without limitation** and **including without limitation**. The use of the words **include** and **including** followed by a specific example or examples shall not be construed as limiting the meaning of the general wording preceding it.

1.5. The words **shall**, **will**, and **must** when used in the context of any obligation or restriction imposed on a Party have the same meaning.

1.6. Any substantive provision, conferring rights or imposing obligations on a Party and appearing in any of the definitions in this Clause 1 (**Definitions and Interpretation**) or elsewhere in this Agreement, shall be given effect to as if it were a substantive provision in the body of the Agreement.

1.7. Words and expressions defined in any Clause shall, unless the application of any such word or expression is specifically limited to that Clause, bear the meaning assigned to such word or expression throughout this Agreement.

1.8. Unless otherwise provided, defined terms appearing in this Agreement in title case shall be given their meaning as defined, while the same terms appearing in lower case shall be interpreted in accordance with their plain English meaning.

1.9. A reference to any statutory enactment shall be construed as a reference to that enactment as at the Signature Date and as amended or substituted from time to time.

1.10. Unless specifically otherwise provided, any number of days prescribed shall be determined by excluding the first and including the last day or, where the last day falls on a day that is not a business day, the next succeeding business day.

1.11. If the due date for performance of any obligation in terms of this Agreement is a day which is not a business day, then (unless otherwise stipulated) the due date for performance of the relevant obligation shall be the immediately preceding business day.

1.12. Where figures are referred to in numerals and in words, and there is any conflict between the two, the words shall prevail, unless the context indicates a contrary intention.

[1.13.] The rule of construction that this Agreement shall be interpreted against the Party responsible for the drafting of this Agreement~~,~~ shall not apply.

1.13.[1.14.] The expiration or termination of this Agreement shall not affect such of the provisions of this Agreement as expressly provide that they will operate after any such expiration or termination or which of necessity must continue to have effect after such expiration or termination, notwithstanding that the Clauses themselves do not expressly provide for this.

1.14.[1.15.] No provision of this Agreement shall (unless otherwise stipulated) constitute a stipulation for the benefit of any person (**stipulatio alteri**) who is not a Party to this Agreement;

1.15.[1.16.] The use of any expression in this Agreement covering a process available under South African law, such as winding-up, shall, if either of the Parties to this

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Agreement is subject to the law of any other jurisdiction, be construed as including any equivalent or analogous proceedings under the law of such other jurisdiction.

1.16.[1.17.] Any reference in this Agreement to this Agreement or any other agreement or document shall be construed as a reference to this Agreement or, as the case may be, such other agreement or document, as amended, varied, restated, reinstated, novated or supplemented from time to time.

1.17.[1.18.] In this Agreement, the words "Clause" or "Clauses" refer to Clauses of this Agreement.

2. INTRODUCTION

2.1. The Borrower requires funding, which will assist it with its working capital and capital expenditure requirements, which are necessary for it to properly execute the [Ford Support Letter]. The Lender is willing to advance the Loan Amount for the Loan Purpose only.

2.2. The Parties record that, with effect from the Fulfilment Date, the Lender shall make the Loan Amount available to the Borrower upon the suspensive conditions referred to in clause3 of this Agreement being fulfilled.

2.3. Accordingly, the Parties wish to enter into this Agreement and do so hereunder on the terms and subject to the conditions of this Agreement.

3. CONDITIONS PRECEDENT

3.1. The Agreement, save for this clause 3 and clauses 1, 13 to 30 (both inclusive), which shall be of immediate force and effect, is subject to the fulfilment or waiver, by not later than **23h59** on **[Insert date upon which all CPs must be fulfilled]**, or such later date as the Lender may notify the Borrower in writing ("**Fulfilment Date**") of the following conditions precedent, namely: **[Drafting note: Double check and/or adjust the type of CPs to be met.]**

3.1.1. the Lender receiving a copy of a resolution of the board of directors of the Borrower, approving the signature and performance by it of this Agreement (which shall substantially be in the form of Annexure A hereto);

3.1.2. the Lender receiving a copy of a resolution of the board of directors of the Guarantor pursuant to section 45 and 46 of the Companies Act and its memorandum of incorporation, approving the signature and performance by it of the Funding Documents to which it is party (which shall substantially be in the form of Annexure B hereto); **[Drafting note:**

Retain if guarantee forms part of required security and the provider is a company. If not, delete and make necessary adjustments where necessary.]

3.1.3. the Lender receiving a copy of a resolution of the shareholders of the Guarantor pursuant to section 45 of the Companies Act, approving the signature and performance by it of the Finance Documents to which it is party; **[Drafting note: Retain if guarantee forms part of required security and the provider is a company. If not, delete and make necessary adjustments where necessary.]**

3.1.4. the Lender receiving a signed Ford Support Letter (ie on its letterhead) addressed to the Lender and/or the Borrower; **[Drafting note: if market access is based on an OEM contract, please make necessary adjustments where necessary ie see comment on clause** 1.2.23 **above.]**

3.1.5. the Borrower shall provide proof that it has opened the Designated Bank Account with Absa on such terms as are satisfactory and acceptable to the Lender and having regard to the provisions of clause 6 below;

3.1.6. a signed original of the Deed of Cession of Book Debts referred to in clause 8.1.1, being delivered to the Lender;

3.1.7. a signed original of the Deed of Pledge referred to in clause 8.1.2, being delivered to the Lender;

3.1.8. the Borrower signing an original of the Power of Attorney and furnishing the Lender with an original copy thereof, in terms of which the Borrower irrevocably authorises the Lender to instruct its Attorneys to register the General Notarial Bond over the Assets of the Borrower, as covering security for all amounts owing by the Borrower to the Lender in terms of this Agreement;

3.1.9. a letter signed by 2 (two) directors of the Borrower (ie on its letterhead) **[and another similar letter from the Guarantor] [Drafting note: Retain highlighted wording if guarantee forms part of required security and the provider thereof is a company. If not, delete and make necessary adjustments.]** addressed to the Lender confirming that:

3.1.9.1. **no Event of Default or Potential Event of Default has occurred or is continuing or will result from the execution of this Agreement;**

3.1.9.2. **the representations and warranties given by it under the Agreement made by it are correct in all material respects;**

3.1.9.3. **no event or series of events or circumstances has occurred or arisen which is likely to cause a Material Adverse Event; and**

3.1.9.4. **borrowing the Loan Amount would not cause any guaranteeing, borrowing or similar limit binding on it to be exceeded.**

3.2. Each of the Conditions Precedent have been stipulated for the sole benefit of the Lender and as such, may only be waived (in whole or in part) by the Lender upon written notice to the Borrower on or before the Fulfilment Date, whereupon the Condition Precedent (in whole or in part) in respect of which fulfilment shall have been waived, shall be deemed to be **pro non scripto**.

3.3. The Borrower shall use its best endeavours to procure the fulfilment of the Conditions Precedent.

3.4. No Party shall have any claim against the other Party as a result of the non-fulfilment of the Conditions Precedent.

3.5. Should the Conditions Precedent not be fulfilled or waived, as the case may be, by not later than the Fulfilment Date, then –

3.5.1. the provisions of this clause 3 and clauses 1 and 13 to 30 (both inclusive) shall continue to be of force and effect, but the remainder of the Agreement shall never become effective;

3.5.2. to the extent that the Lender may have made an Advance to the Borrower, at any time, such Advance shall be deemed to have been made on the terms of this Agreement, provided that notwithstanding anything contained in this Agreement to the contrary, such Advance shall be repayable on written demand; and

3.5.3. save as is provided in clause 3.5.2, the Parties shall be restored to the positions which they would have been in but for the signature of this Agreement.

4. LOAN AND LOAN PURPOSE

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4.1. The **Parties acknowledge that the Borrower** is in need of finance to secure the purchase of the Products from its Suppliers as well as to fund its working capital requirements, and the Lender has agreed to avail the Loan, for the benefit of the Borrower, in order to facilitate the on-going purchase and delivery of the Products and/or to achieve the Loan Purpose.

4.2. **The Lender agrees to make available to the Borrower, during the Term of this Agreement, the Loan Amount for the Loan Purpose only.**

4.3. **Subject to the Borrower not being in breach of this Agreement and no Material Adverse Event or Event of Default (as the case may be) having occurred or continuing, the Lender (on behalf of the Borrower), will, –**

4.3.1. **facilitate or make payment(s) that is/are payable to a Supplier by lending and advancing an amount which is equivalent to the (pro forma) invoiced amount as claimed or issued by the Supplier to the Borrower provided further that (i) such payments do not exceed the [CapEx / Working Capital Spend] and (ii) the concerned (pro forma) invoice is approved in writing by the Borrower; and**

4.3.2. **against presentation of a due and payable invoice that has been approved in writing by the Borrower, make payment directly to the Supplier involved or its chosen banker (as the case may be) out of the amounts standing to the credit of the Loan. Notwithstanding any of the provisions of this Agreement to the contrary, no Advance shall be made by the Lender to the Borrower under this Agreement except in conformity with the provisions of this Agreement. For the sake of clarity, unless otherwise agreed between the Parties, the Lender shall not be required to make any Advance unless such Advance is made in order to facilitate the attainment of the Loan Purpose.**

4.4. **At no time during the Term may the aggregate of all Advances under the Loan exceed the Loan Amount, and to the extent that they do or are likely to -**

4.4.1. **all proceeds derived by the Borrower shall immediately upon receipt thereof by the Borrower, be applied in reduction of the Loan Amount then outstanding so as to bring it within the limit of the Loan Amount;**

4.4.2. **the Lender shall not be under any obligation to advance any further funds, until such time as repayments have reduced the amount outstanding in terms hereof to the limit of the Loan Amount.**

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4.5. As the context or circumstances may require, the Lender shall be entitled (but not obliged) to directly make payment of an Advance to (i) a Supplier, on behalf of the Borrower, or (ii) to the Designated Bank Account provided that such payment is in connection or associated with the Loan Purpose.

5. INTEREST

5.1. Calculation of Interest

5.1.1. Interest will be levied in respect of any Advance or Unpaid Sum (as the case may be) at the Prime Rate, which interest shall:

5.1.1.1. accrue on a daily basis;

5.1.1.2. be capitalised monthly in arrears; and

5.1.1.3. be payable both before and after any judgment being taken.

5.2. Payment of Loan Amount/Advance and Interest

5.2.1. **All payments by the Borrower to the Lender in terms of this Agreement shall be made as provided for or contemplated in this Agreement on the due date for payment thereof into the bank account of** [COMPANY NAME] **as notified by the Lender to the Borrower in writing (and payment into any other account shall not constitute payment by the Borrower in terms of this Agreement).**

5.2.2. **The Borrower shall repay any Advance to the Lender, together with any Interest, as follows:**

Period within which the monthly Repayment Date must be affected by the Borrower	**Monthly repayment instalment/amount**
Payment of the monthly Interest amount (excluding capital) shall be payable with effect from the (i) Interest Repayment Date and thereafter on each Repayment Date.	R[insert estimated monthly repayment amount]*****
Payment of the monthly repayment amount (including capital and Interest thereon) shall be payable on the	R[insert estimated monthly repayment amount] — Quarterly

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Capital Repayment Date and, thereafter, on each Repayment Date.	repayment amount to be confirmed by the Lender on or before the arrival of the Capital Repayment Date.*

(*The monthly repayment instalment is based on an assumption that the entire Loan Amount is utilized by the Borrower. In that regard, the Lender will advise the Borrower from time to time on the correct monthly repayment instalment which will be based on the drawdown(s) effected by the Borrower. The Borrower shall be obliged to settle the monthly repayment instalment as advised by the Lender from time to time without dealing with any disputes in that regard.)

5.2.3. **Without in any way derogating from the provisions of clause** 11 **below, if and to the extent that there are any amounts owing by the Borrower to the Lender under this Agreement as at the Final Repayment Date, then and in such event, all such amounts shall immediately become due, owing and payable by the Borrower to the Lender on the Final Repayment Date.**

5.2.4. **No amounts paid or repaid by the Borrower to the Lender under this Agreement, on or after the Final Repayment Date, shall be available for re-advance by the Lender to the Borrower unless otherwise agreed to in writing by the Lender.**

5.3. **Voluntary prepayment of the Advance**

5.3.1. **The Borrower may, if it gives the Lender not less than 10 (ten) business days' (or such shorter period as the Lender may agree) prior notice, prepay the whole or any part of any Advance.**

5.4. **Default interest**

5.4.1. **The Borrower shall, without prejudice to the Lender's other rights in terms of this Agreement or under Applicable Law, pay to the Lender default interest on any amount falling due for payment in terms of this Agreement which is not paid in full on such due date, from the date that such amount became due and payable to date of payment thereof (both dates inclusive), being 2.00% (two percent) per annum higher than the rate determined under clause** 5.1 **(Calculation of interest).**

5.4.2. **Default interest as aforesaid shall apply from the date on which such amount falls due for payment and is not paid, whether or not any notice has been issued to the Borrower, until the date on**

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which the default has been remedied to the satisfaction of the Lender.

6. DESIGNATED BANK ACCOUNT

6.1. **The Borrower shall on or before the Fulfilment Date open and thereafter maintain for the duration of the Term, the Designated Bank Account (which account the Borrower hereby undertakes not to close for the duration of the Term), subject to the following further conditions:**

6.1.1. **Unless otherwise agreed in writing, all amounts to be received or earned (including the relevant revenue) by the Borrower pursuant to the Ford Support Letter shall be deposited to the credit of the Designated Bank Account. For the sake of further clarity, the Borrower undertakes to ensure that (i) all its revenue streams will be kept, retained and/or deposited into the Designated bank Account during the Term, and (ii) it will transact from such a Designated Bank Account whilst the Ford Support Letter is in place.**

6.1.2. **As part of opening and maintaining the Designated Bank Account during the Term, the Borrower agrees and undertakes to ensure that the –**

6.1.2.1. Lender has visibility rights to the Designated Account;

6.1.2.2. Designated Bank Account is always linked to the master bank account of the Lender and shall not be de-linked without the prior written consent of the Lender; and

6.1.2.3. Lender is granted access rights and/or rights to transact (including to withdraw all or any monies that are standing to the credit of such a Designated Bank Account in the event of a Material Adverse Event or an Event of Default.

6.1.3. **To the extent that any Advances or the Loan Amount is paid into the Designated Bank Account, the Borrower shall use such Advances or Loan Amounts standing to the credit of the Designated Bank Account solely for the Loan Purpose and/or for repaying the Advances or Loan Amount, and for no other purpose whatsoever.**

6.2. **The Borrower hereby cedes to the Lender in securitatem debiti and as continuing covering security for the due and proper performance and discharge of all of the Borrower's obligations, liabilities and responsibilities**

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to the Lender under this Agreement (referred to hereinafter as the "Secured Indebtedness"), all of the Borrower's right, title and interest in and to –

6.2.1. the Designated Bank Account; and

6.2.2. any amount, standing, from time to time, to the credit of the Designated Bank Account.

6.3. The Lender shall be entitled (without notice to the Borrower and without first obtaining any judgment or order) immediately upon the occurrence of any Material Adverse Event or Event of Default (as the case may be), including any failure or neglect on the part of the Borrower to pay any Secured Indebtedness, to perfect its rights under this cession in securitatem debiti.

6.4. The cession shall be a continuing covering security and cession for the Secured Indebtedness and shall remain of full force and effect, notwithstanding -

6.4.1. any intermediate discharge or settlement of or fluctuation in the Secured Indebtedness;

6.4.2. any legal disability of the Borrower or the Lender;

6.4.3. any variation or amendment of, addition to or deletion from or consensual cancellation or determination of any agreement between the Lender and the Borrower;

6.4.4. any waiver by the Lender of some but not all of its rights against the Borrower;

6.4.5. any latitude, indulgence or extension of time which may be allowed or shown by the Lender to the Borrower; and/or

6.4.6. the receipt by the Lender of any dividend or benefit in any liquidation or business rescue, or any compromise whether in terms of any statutory enactment or the common law.

7. **PAYMENT COVENANTS**

7.1. Every amount payable by the Borrower to the Lender shall be paid by way of electronic funds transfer to the credit of such bank account as the Lender or [COMPANY NAME] may from time to time notify the Borrower in writing.

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7.2. All payments made by the Borrower hereunder shall be applied -

7.2.1. first to any unpaid fees, costs and expenses then due and payable under this Agreement or the other credit documents (including the Funding Documents), if any; and

7.2.2. second to accrued Interest then due and payable under this Agreement or the other credit documents (including the Funding Documents), if any, and finally to reduce the principal amount of the outstanding Loan Amount.

7.3. All payments to be made by the Borrower to the Lender in terms of this Agreement shall be made free of any set-off, deductions or withholdings of whatsoever nature (including, without limitation, any Taxes) and without demand into the account referred to in clause 7.1 above.

7.4. Save as expressly provided herein, if any date on which a payment is due under this Agreement is not a Business Day, the relevant payment shall be made on the next succeeding Business Day.

7.5. The Borrower shall have no right to defer, withhold or adjust any payment due to the Lender arising out of this Agreement, to obtain the deferment of any judgment for any such payment or part thereof, nor to obtain deferment of execution of any judgment, whether by reason of any set-off or counterclaim of whatsoever nature and howsoever arising, or otherwise. The subject matter of any such counterclaim shall be required to form the subject matter of separate legal proceedings against the Lender.

7.6. The Borrower shall:

7.6.1. pay when due, all Taxes required by Applicable Law to be deducted or withheld by it from any amounts paid or payable under this Agreement; and

7.6.2. within 15 (fifteen) business days of the payment being made, deliver to the Lender evidence satisfactory to the Lender (including all relevant Tax receipts) that the payment has been duly remitted to the appropriate authority.

7.7. The Borrower irrevocably undertakes to the Lender that until all amounts owing by the Borrower in terms of this Agreement have been paid in full, it shall -

7.7.1. inform the Lender promptly of the occurrence or likely occurrence of any Potential Event of Default or Event of Default and provide the Lender with full details of any steps which the Borrower is taking or proposes to take in order to prevent, remedy or mitigate the effect of the Potential Event of Default or Event of Default;

7.7.2. as soon as they becomes aware of the need for the same, obtain and promptly renew from time to time, and promptly furnish certified copies to the Lender of, all authorisations, approvals, consents, licences and exemptions, if any, as may be required under any Applicable Law to enable the Borrower to conduct its business and all authorisations, approvals, consents, licences and exemptions, if any, as may be required under any Applicable Law to enable it to perform its obligations under this Agreement;

7.7.3. promptly inform the Lender of any event or any circumstance whatsoever which may result in a Material Adverse Event or affect the accuracy of or modify any representation, warranty or covenant of or by the Borrower in terms of this Agreement.

8. SECURITY

8.1. As collateral security for the liabilities and obligations of the Borrower to the Lender under this Agreement together with any interest accrued thereon from time to time, the Borrower –

8.1.1. shall execute on or before the Fulfilment Date, the Deed of Cession of Book Debts;

8.1.2. shall execute on or before the Fulfilment Date, the Deed of Pledge;

8.1.3. shall execute on or before the Fulfilment Date, the Suretyship; and

8.1.4. hereby consents to the registration at the Borrower's cost and as expeditiously as possible after the Fulfilment Date, of the General Notarial Bond by the Attorneys. Notwithstanding the foregoing and owing to the need to register the General Notarial Bond timeously, the Borrower hereby agrees and authorises the Lender to settle the costs of registering the General Notarial Bond and to (i) claim such costs from the Borrower or (ii) capitalise such costs as part of the Loan Amount.

8.2. In order to facilitate the registration of the General Notarial Bond, the Borrower hereby undertakes to sign promptly on or before the Fulfilment Date, the

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Power of Attorney and/or to do all such other things as are necessary in order to ensure the proper and timeous registration of the General Notarial Bond by the Attorneys.

8.3. **Notwithstanding anything contained in this Agreement to the contrary, the provisions of this clause** 8 **shall survive any termination of the Agreement for so long as any amount of the Loan Amount and/or any Interest and costs has not been repaid.**

9. **PROOF OF INDEBTEDNESS**

A certificate signed by the Lender or its auditors (whose appointment as such it shall not be necessary to prove) setting forth -

9.1. **the amount of the Loan Amount;**

9.2. **that the Loan Amount is then due and payable;**

9.3. **the Interest payable on the Loan Amount and the date from which such Interest is reckoned,**

shall constitute *prima facie* proof of the facts therein stated and shall be binding on the Borrower for all purposes, including, without derogating from the generality of the aforegoing, the granting of provisional sentence, summary judgment, default judgment or any other remedy.

10. **PRIORITY OF LOAN**

10.1. **Notwithstanding the fact that the Loan is secured and to the extent legally permissible, the obligation of the Borrower to repay the Loan Sum and Interest which accrues thereon shall rank in priority as the most senior ranking liability of the Borrower in the event of the liquidation of the Borrower.**

10.2. **As a consequence of the aforegoing, the Borrower warrants and undertakes in favour of the Lender as follows –**

10.3. **all other existing liabilities of the Borrower to its creditors are;**

10.4. **all its existing shareholders' loans and/or inter-company loans are;**

10.5. **it will procure that all future liabilities of the Borrower to its creditors will be,** 10.6. **subordinated to the obligations of the Borrower to repay the Capital Sum and interest which accrues thereon, in the event of the liquidation of the Borrower as contemplated above.**

11. **RESTRICTIONS ON THE BORROWER**

11.1. **For so long as any part of the Loan Amount including Interest remains outstanding for the duration of the Term, the Borrower agrees that it will not, without the Lender's prior written consent -**

11.1.1. **sell or otherwise dispose of any of its assets other than in the ordinary course of business;**

11.1.2. **encumber, sell, transfer, exchange or otherwise Dispose of the whole or greater part of the business or any assets that form part of the business, whether movable or immovable;**

11.1.3. **pledge the credit of the Lender;**

11.1.4. **permit any material change in the nature of its business;**

11.1.5. **cease carrying on business, materially change the nature of its business or materially change its accounting policies;**

11.1.6. **enter into any amalgamation, demerger, merger or corporate restructure;**

11.1.7. **allow for any changes in its shareholding which results in it no longer being, at least 51% (fifty one percent), owned by Black Persons;**

11.1.8. **create or permit any encumbrance over all or any of its present or future assets, revenues, the business;**

11.1.9. **save for any indebtedness incurred in the ordinary course of business, give any guarantee, suretyship, bond or indemnity of whatsoever nature or otherwise assume liability or give any insurance against financial loss in respect of any other person;**

11.1.10. **declare or pay any dividends or make any other Distribution or make any payment under any shareholder's loan to any holder of any of its issued securities or any other person;**

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11.1.11. **acquire or subscribe for shares or other ownership interests in or securities of any company or other person, acquire any business or incorporate any company or other person or enter into or incur any liability in connection with any partnership or joint venture, or enter into any partnership, joint venture or other arrangement, agreement or understanding with any person for the joint development of any business or the sharing** of any assets or revenues derived from any business. This restriction does not apply to:

11.1.11.1. acquisitions or investments made in the ordinary course of business or related to existing strategic investments or operations; or

11.1.11.2. any acquisition expressly permitted in writing by the Lender;

11.1.12. save in respect of any changes required to be made in terms of any Applicable Law, the Borrower shall not amend its constitutional documents and/or its memorandum of incorporation without the prior written consent of the Lender where that change has or might reasonably be expected to have a Material Adverse Event;

11.1.13. agree to any amendment, variation or cancellation of this Agreement or any of the security provided by the Borrower to the Lender;

11.1.14. give any consent or approval requested or required under, or waive any of its rights under, or waive any, or consent to any, non-compliance with, any provision of any material agreement to which it is a party;

11.1.15. become party to any agreement or incur any liabilities whatsoever, other than in the conduct of the business in the normal, ordinary and regular course;

11.1.16. in the event that business rescue proceedings have been commenced in accordance with the provisions of Chapter 6 of the Companies Act, vote to amend, approve or reject a proposed business rescue plan in relation to such business rescue proceedings in the manner contemplated in section 152 of the Companies Act;

11.1.17. propose the development of any business rescue plan as provided for or contemplated in section 153 of the Companies Act;

11.1.18. in the event that a compromise is reached between the Borrower and the Borrower's creditors in accordance with the provisions of section 155 of the Companies Act, vote to accept or reject a proposal in relation to such compromise, as provided for or contemplated in section 155 of the Companies Act;

11.1.19. repudiate nor give written notice of an intention to repudiate any (i) any Funding Documents to which it is a party or (ii) the Ford Commitment Letter **[Drafting note:**

Adjust accordingly depending on the OEM name], or any of its obligations thereunder;

11.1.20. permit any Security Interest to subsist, arise or to be created or extended over any of its assets, undertakings, business or revenues;

11.1.21. make any loan to any third party, other than in the conduct of the business in the normal, ordinary and regular course;

11.1.22. subject itself to any voluntary proceedings under any law, regulation or procedure relating to insolvency, reconstruction or readjustment of debts or relief from creditors;

11.1.23. redeem or purchase any of its shares or otherwise reduce its share capital in any manner and to any extent;

11.1.24. save for expenditure to be incurred for the Loan Purpose, incur any expenditure (save as may be required in relation to the maintenance of its corporate existence and on the basis that any such expenses shall in any event be limited to the reasonable amount thereof), other than in the conduct of its business in the normal, ordinary and regular course;

11.1.25. save as expressly provided for or contemplated in this Agreement, either in a single transaction or a series of related transactions, whether voluntarily or involuntarily, sell, lease, transfer or otherwise Dispose of all or any part of its assets, or business, or enter into any agreement or arrangement to effect any of the foregoing other than in the conduct of its business in the normal, ordinary and regular course;

11.1.26. incur any financial indebtedness other than in the conduct of its business in the normal, ordinary and regular course;

11.1.27. materially change its accounting policies or change its auditors (without prior written consent of the Lender), or attempt to do any of the aforegoing, or allow, authorise or permit any of its Subsidiaries (as such term is defined in the Companies Act) to do any of the aforegoing.

11.2. **The Borrower undertakes unto and in favour of the Lender, that it shall –**

11.2.1. maintain its registration as a private limited liability company in good standing in South Africa;

11.2.2. procure that [Ms/Mr xxxx] ***[Drafting note: adjust depending on the type of security needed.]*** execute the Suretyship(s) prior to the Fulfilment Date in terms of which, as surety and co-principal with the Borrower, s/he jointly and severally bind herself for all the existing or future liabilities of the Borrower under this Agreement;

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11.2.3. at all times during the duration of this Agreement, be at least 51% (fifty one percent) owned and controlled by Black Persons on a modified flow-through basis ("**MFT**") provided further that the MFT shall not apply in the event of the Borrower being an exempt micro enterprise or a qualifying small enterprise as contemplated in statement 000 of the Codes of Good Practice. In the event that at any point in time during the Term, the 51% (fifty one percent) ownership requirement is not met then in such an event the entire Loan (including any Unpaid Sum) shall become immediately due and payable on written notice from the Lender;

11.2.4. ensure that it has at least 1 (one) senior Black Person as part of its senior/executive governance structure during the Term of this Agreement. In the event that at any point in time during the Term, the aforestated requirement is not met then in such an event the entire Loan (including any Unpaid Sum) shall become immediately payable; ***[Drafting note: Adjust as may be necessary.]***

11.2.5. submit to the Lender, annually, with effect from the Fulfilment Date, a valid BBBEE certificate issued by a South African National Accreditation System accredited BBBEE verification agency, or a sworn affidavit, confirming its BBBEE status;

11.2.6. at all times comply with all Applicable Laws and will observe and comply with the terms of its constitutional documents;

11.2.7. duly perform and observe the terms of this Agreement and all other material agreements to which it is party;

11.2.8. properly and promptly pay and discharge all taxes whatsoever imposed upon its assets, revenues, business, undertaking or operations, unless to the extent that the same shall be contested in good faith by appropriate legal proceedings and has (and has set aside) sufficient reserves to discharge such taxes when due;

11.2.9. promptly inform the Lender of the occurrence of any Event of Default or Potential Event of Default or Material Adverse Event;

11.2.10. ensure that its liabilities and obligations (whether actual or contingent) to the Lender in respect of the Loan shall at all times rank in accordance with the provisions of clause 10.

12. FURTHER BORROWER INFORMATION AND OTHER UNDERTAKINGS

The Borrower undertakes to the Lender that until all amounts owing by the Borrower to the Lender in terms of this Agreement have been irrevocably paid in full (and all other obligations whatsoever owing by the Borrower to the Lender in terms of this Agreement have been irrevocably discharged in full), the Borrower shall –

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12.1. **use its best efforts to obtain, procure and maintain key person/man life insurance on all of the directors of the Borrowers, namely, xxxx; xxxx; and xxxx [Drafting note: Make changes as may be necessary]. It being agreed further that:**

12.1.1. the interest of the Lender shall be noted in the relevant insurance policy with a material term that the insurer shall pay to the Lender any outstanding Unpaid Sum that is due and payable by the Borrower to the Lender before the insurer pays anything to the insured (or any other beneficiaries (if any)) in the event that a claim where to materialise under the said policy.

12.1.2. upon written request by the Lender and within 3 (three) Business Days of such a request, the Borrower shall provide proof that is satisfactory and acceptable to the Lender of such key person/man life insurance (which shall contain what is envisaged in clause 12.1.1 above);

12.2. undertakes to submit a transformative plan to be approved by the Lender in terms of which it addresses the following aspects:

12.2.1. the details and timeframes within which to upskill all of its unskilled and semi-skilled black youth and female employees; and

12.2.2. the details and timeframes within which to train its black employees with an objective creating black managers within its business;

12.3. ensure existing and future shareholders' loans are not repaid unless the following conditions are adhered to;

12.3.1. all interest and capital repayments are paid in full and are not overdue;

12.3.2. all financial covenants are up to date and adhered to; and

12.3.3. a minimum shareholder loan balance of R1 000 000.00 (one million Rand) is maintained in the business throughout the Term and it being recorded further that such amount may be adjusted in writing by the Parties from time to time ; **[Drafting note: clauses 12.2 and this 12.3 to be retained or deleted as may be necessary in the context of the approved memo.]**

12.4. assist and permit the Lender to conduct a Business Review on the Borrower on a quarterly basis by granting access to any documentation and/or information (in whatever format it may have been stored or contained) as may be required by the Lender;

12.5. maintain at least one senior Black Person at senior/ executive position within the Borrower during the Term of this Agreement;

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12.6. at the sole discretion of the Lender, allow the duly authorised representatives of the Lender including its agents or service providers) at all reasonable times to audit and inspect the Borrower's books, documents and records and to make extracts from or copies of the latter on the understanding that information obtained from the Borrower will remain confidential and restricted to the Lender and its personnel;

12.7. ensure that the remuneration of its directors (including any prescribed officers) is not increased by a rate that is higher than the annual inflation rate/consumer price index as officially published by Statistics South Africa unless it has obtained the prior written consent or approval of the Lender;

12.8. procure and maintain a business insurance that comprehensively and sufficiently covers its business operations and assets, and cause the insurer to note the interest of the Borrower as the sole beneficiary of the proceeds of such an insurance (which shall be limited to the Unpaid Sum) at the time of an insurance claim arising thereunder. Upon written request from the Lender, the Borrower shall immediately provide satisfactory and sufficient proof that evinces the maintenance of such an insurance by it. Without detracting from the generality of the foregoing and in addition thereto, the Borrower shall ensure that insurances over its business and its assets are procured and maintained in the name of the Borrower, and ensure that all premiums in respect thereof are paid timeously;

12.9. ensure that any Assets of the Borrower are tagged or otherwise marked in a manner which adheres to the requirements of the Lender to record the rights of the Lender over such assets;

12.10. notify the landlord of the premises at or on which the Assets of the Borrower are located, in writing, that the landlord's hypothec does not apply in relation to such assets (including those which are also covered by the General Notarial Bond);

12.11. to the extent that the provisions of clause 10 are severable and non-enforceable in law for whatever reason, ensure that at all times the claims of the Lender against it rank at least *pari passu* with the claims of all its other secured creditors;

12.12. furnish the Lender with all material information (including progress reports) relevant to the financial affairs of the Borrower, within 10 (ten) business days after receipt of a notice issued by the Lender or the Lender's representatives requiring it to do so;

12.13. maintain in full force and effect all governmental, tax, monetary and other approvals required to enable it to continue in its business and affairs;

12.14. preserve and maintain all of its assets which are material to the conduct of its business;

12.15. pass all resolutions as may be necessary to ensure that the provisions of the Companies are complied with to the extent necessary in terms of this Agreement;

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12.16. comply with all Applicable Laws applicable to it;

12.17. notify the Lender in writing of any Event of Default or Potential Event of Default promptly upon becoming aware of its occurrence;

12.18. timeously and fully comply with all of its obligations under this Agreement;

12.19. promptly inform the Lender in writing of any Material Adverse Event that could negatively affect the Borrower and/or this Agreement;

12.20. timeously settle in full all of its liabilities as and when they fall due for payment;

12.21. cause to be prepared in each of its financial years and cause to be certified by its auditors and/or independently reviewed annual financial statements for the Borrower in accordance with generally accepted accounting principles which present fairly and accurately the financial position of the Borrower as at the end of the relevant financial year. Where the Lender fails to so, it hereby irrevocably authorises and empowers the Borrower in its stead to use its own resources to, inter alia, cause the preparation and finalisation of the relevant financial records in order to assist the Lender with financial management and management of risks. In particular, the borrower shall -

12.21.1. deliver to the Lender a copy of the audited and/or independently reviewed annual financial statements as soon as practicable but not later than 120 (one hundred and twenty) days after the end of the financial period to which they relate together with copies of every material report, notice or like document issued by the Borrower to its creditors generally at the time of issue thereof;

12.21.2. cause to be prepared in each month of its financial year, management accounts and a management report for the Borrower as at the end of the relevant month;

12.21.3. deliver to the Lender a copy of the management accounts referred to in clause 12.21.2 (including monthly bank statements) as soon as practicable but in any event not later than 30 (thirty) days after the end of the financial period to which they relate;

12.21.4. promptly provide the Lender with such financial and other information concerning the Borrower and its affairs as the Lender may from time to time reasonably require;

12.22. notify the Lender in writing of any Potential Event of Default or Event of Default or Material Adverse Event, which occurs or is continuing, as soon as it occurs;

12.23. notify the Lender of any litigation or dispute of the nature contemplated in clause 13.4.16 hereof as soon as practical after becoming aware thereof; and

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12.24. promptly furnish the Lender with such information as the Lender may reasonably require to satisfy the Lender that the Unpaid Sum has been utilised for the Loan Purpose.

13. REPRESENTATIONS AND WARRANTIES

13.1. In its decision to enter into this Agreement, the Lender has relied on the representations and warranties which the Borrower makes in this clause 13 as being true, correct and complete and the Borrower recognises and agrees that the Lender would not have entered into this Agreement but for the representations and warranties contained in this Agreement, it being acknowledged and agreed that all such representations and warranties are material to the entry into and performance of this Agreement by the Lender.

13.2. Each warranty and representation set out in this Agreement shall be a separate warranty and representation and shall (except as otherwise expressly stated in this Agreement) in no way be limited or restricted by reference to or inference from the terms of any other warranty or representation.

13.3. The representations and warranties set out below shall be deemed to be given on the Signature Date and on each date during the Term. Insofar as any of the warranties is promissory or relates to a future event, they shall be deemed to have been given as at the due date for fulfilment of the promise or for the happening of the event, as the case may be. When a representation or warranty is repeated it is applied to the circumstances existing at the time of repetition.

13.4. The Borrower represents and warrants to and in favour of the Lender that:

13.4.1. this Agreement constitutes an agreement valid and binding on it and enforceable against it in accordance with its terms;

13.4.2. it has the power to enter into, perform and deliver, and has taken all necessary action to authorise its entry into, performance and delivery of, this Agreement and the transactions contemplated by this Agreement;

13.4.3. the entry into and performance by it of its obligations under this Agreement do not:

13.4.3.1. conflict with any Applicable Law to which it is subject;

13.4.3.2. conflict with its constitutional documents and/or its memorandum and articles of association; or

13.4.3.3. conflict with any agreement or document to which it is a party or which is binding upon it or any of its assets;

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13.4.4. all authorisations required by it in connection with the entry into, performance, validity and enforceability of, and the transactions contemplated by, this Agreement have been obtained or effected (as appropriate) and are in full force and effect;

13.4.5. it has obtained and is in compliance with all such material licences, consents, permits, approvals and other authorities as are prescribed by Applicable Law for the conduct of its business in each jurisdiction in which the business is conducted, and it is not aware of any fact or circumstance which may result in the cancellation, withdrawal or non-renewal of any of them;

13.4.6. save as expressly provided for in or contemplated by this Agreement, neither the performance by, nor exercise of any of the rights of, the Borrower will result in the existence of, or oblige the Borrower to create, any Security Interest in favour of any person over the whole or any part of the Assets of the Borrower (present or future);

13.4.7. all information furnished by the Borrower to the Lender in connection with this Agreement and the transactions contemplated hereby, remains, true and correct in all material respects and there are no other facts or circumstances of which it is aware that would render any such information misleading;

13.4.8. no Potential Event of Default or Event of Default has occurred which is continuing;

13.4.9. no Material Adverse Event has occurred or is continuing;

13.4.10. the Borrower has disclosed to the Lender any information in its possession which might reasonably be expected to adversely influence the decision of a Lender to advance a loan to the Borrower on the terms and conditions contained in this Agreement;

13.4.11. every consent, authorisation, permit, licence, certificate or approval of, or declaration required by the Borrower to authorise, or required by the Borrower in connection with, the validity, enforceability or admissibility in evidence of this Agreement or the performance by the Borrower of its obligations under this Agreement have been obtained or made or, prior to the Signature Date, will have been obtained or made and is in full force and effect and there has been no default in the observance of the conditions or restrictions (if any) imposed in, or in connection with, any of the same;

13.4.12. the Borrower has not taken any action nor have any other steps been taken or legal proceedings been started or threatened against it for its winding-up, business rescue proceedings, dissolution, administration or re-organisation or liquidation (as the case may be), or for the appointment of a receiver,

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administrator, administrative receiver, trustee or similar officer of it or of any or all of its assets or revenues;

13.4.13. the Borrower has good, valid and unimpeachable title in and to all the Assets of the Borrower and revenues;

13.4.14. save as is expressly provided for in this Agreement, no Security Interest exists over any or all of the Borrower's present or future assets;

13.4.15. that the provisions of the National Credit Act are of no application to this Agreement inasmuch as the Borrower, amongst others, is a juristic person having an annual turnover in excess of the threshold value determined by the Minister responsible for consumer credit matters, in terms of section 7(1) of the aforementioned Act;

13.4.16. no litigation, arbitration or administrative proceedings of or before any court, arbitral body or agency which, if adversely determined, might reasonably be expected to have a Material Adverse Event have been started or threatened against it; and

13.4.17. all Taxes are paid up to date.

14. EVENTS OF DEFAULT

14.1. Each of the following events shall constitute an Event of Default:

14.1.1. any Material Adverse Event occurs or is continuing;

14.1.2. the General Notarial Bond has not been registered within 90 (ninety) days of the Fulfilment Date, or such later date as may be agreed to by the Lender in writing; ***[Drafting note: Adjust accordingly depending on the type of security to be provided.]***

14.1.3. the Assets of the Borrower are materially diminished for any reason whatsoever (other than as a result of the sale of the Assets of the Borrower in the ordinary course of business), provided that for the purposes of this clause 14.1.3, "**materially diminished in value**" means that the value of the Assets of the Borrower is less than the aggregate of the Loan Amount and any Interest outstanding at that time, as confirmed at such time by an independent valuer appointed by the Lender;

14.1.4. the Borrower fails to pay when due or, if so payable, on demand any sum payable under this Agreement and in the manner specified in this Agreement;

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14.1.5. the Borrower breaches any of the provisions of this Agreement or any of the parties thereto (other than the Lender) breaches any of the Funding Documents (other than a breach contemplated in clause 14.1.1) and, where such breach is capable of being remedied, fails to remedy such breach within the period contemplated in clause14.1.7 below; or

14.1.6. any indebtedness of the Borrower (other than under this Agreement) is not paid when due or, if so payable, on demand or any such indebtedness becomes due and payable or capable of being declared due and payable before its stated maturity date as a consequence of any event of default howsoever described;

14.1.7. the Borrower breaches any of the provisions of this Agreement (including any other Finance Document) and fails to rectify same within 5 (five) business days (or such longer period as may be reasonably required, which shall not exceed 15 (fifteen) business days) of notice in writing from the Lender calling upon it to do so;

14.1.8. any expropriation, attachment, sequestration, implementation of any business rescue plan, distress or execution which affects any asset or assets of the Borrower;

14.1.9. the Borrower is or is deemed by any authority or legislation to be unable or admits inability to pay its debts as they fall due, suspends making payments on any of its debts or by reason of actual or anticipated financial difficulties, commences negotiations with one or more of its creditors (excluding the Lender in its capacity as such) with a view to rescheduling any of its indebtedness;

14.1.10. any representation, warranty or statement made by the Borrower in any Finance Document or any other notice or document relating to any Finance Document is untrue or misleading in a material respect when it is made or deemed repeated;

14.1.11. the value of the assets of the Borrower is less than its liabilities (taking into account contingent and prospective liabilities);

14.1.12. the Borrower is or is deemed by any authority or legislation to be Financially Distressed (as defined in the Companies Act);

14.1.13. any representation, warranty or statement made or repeated deliberately in connection with this Agreement or in any document delivered by or on behalf of the Borrower is incorrect in any material respect when made or deemed to be made or repeated;

14.1.14. the Borrower fails to discharge in full, within 5 (five) business days of the due date, any amount payable pursuant to a final judgement or order made or given by any court or other authority of competent jurisdiction in any litigation, arbitration, administrative, governmental, regulatory or other investigations, proceedings or

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enquiry (including any such investigations, proceedings or enquiry by any competition authority, environmental authority, tax authority or sector specific regulatory authority);

14.1.15. the authority or ability of the Borrower to conduct its business is wholly or substantially curtailed by any seizure, expropriation, nationalisation, intervention, restriction or other action by or on behalf of any governmental, regulatory or other authority or other person;

14.1.16. the Borrower suspends or ceases to carry on (or threatens to suspend or cease to carry on) all or a core part of its business;

14.1.17. the Borrower uses the Loan Amount for a purpose other than the Loan Purpose;

14.1.18. the Borrower repudiates this Agreement or evidences an intention to repudiate this Agreement;

14.1.19. any security held by the Lender, is or becomes unlawful or is not, or ceases to be a first ranking security or to be, legal, valid, binding or enforceable;

14.1.20. any licence, permit, authorisation, approval or consent required under any Applicable Law for the conduct of the business of the Borrower is not obtained, expires, or is withdrawn, cancelled, revoked or not renewed or the Borrower does not comply in all respects with all Applicable Laws to which it may be subject if such a failure would materially impair its ability to perform its obligations under this Agreement;

14.1.21. any business rescue practitioner or liquidator is appointed over any asset of the Borrower;

14.1.22. the Borrower commits an insolvency act which, if such act was committed by an individual, would be an act of insolvency within the meaning of section 8 of the Insolvency Act, 1936 (Act No. 24 of 1936) or any equivalent legislation occurs in respect of the Borrower and/or a moratorium is declared in respect of any indebtedness of the Borrower;

14.1.23. any of the assets of the Borrower are nationalised, expropriated or confiscated; or

14.1.24. the Borrower donates any of its assets to any person or Disposes of any of its assets at below fair market value to any entity;

14.1.25. any event or circumstance occurs which the Lender reasonably believes has or is reasonably likely to have a Material Adverse Event; and

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14.1.26. at any time it is or becomes unlawful for either the Borrower or the Lender to perform or comply with its obligations under this Agreement.

14.2. **Action Following Event Of Default**

14.2.1. If any Event of Default occurs and is continuing, the Lender shall be entitled, without prejudice to any other rights or remedies which the Lender may have under this Agreement or otherwise in accordance with Applicable Law, by written notice to the Borrower to –

14.2.1.1. declare the entire Loan to be immediately due and repayable (whereupon the same shall become so repayable and all and any other amounts whatsoever then owed by the Borrower under this Agreement); and/or

14.2.1.2. demand and be entitled to receive specific performance of any obligation of the Borrower under and in terms of this Agreement; and/or

14.2.1.3. take all steps which it regards as desirable or necessary in order to enforce or perfect the security provided by the Borrower and its shareholders to the Lender, as described in clause 8; and/or

14.2.1.4. claim payment from the Borrower and the Borrower hereby indemnifies the Lender and holds it harmless against all and any losses of whatsoever nature and howsoever arising incurred by the Lender under this Agreement as a result of the occurrence of any Event of Default (including, without limitation, the costs of enforcing the provisions of this Agreement).

14.3. **Liquidation**

In the event of the liquidation of the Borrower prior to the Repayment Date or Final Repayment Date (as the case may be), the Unpaid Sum together with all interest accrued thereon shall immediately be a debt which is due, owing and payable by the Borrower to the Lender.

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15. **RENUNCIATION OF BENEFITS**

The Borrower expressly waives and renounces the legal benefits and exceptions"*non numeratae pecuniae*" (no money paid), "*non causa debiti*" (no cause of debt), "*errore calculi*" (error in calculation) and revision of accounts and declares itself to be fully acquainted with the meaning and effect of those exceptions and the renunciation thereof.

16. **ENVIRONMENTAL, SOCIAL AND GOVERNANCE**

16.1. The Borrower shall use commercially reasonable efforts to comply with Applicable Laws specifically pertaining to environmental, social and governance ("**ESG**") matters in operating its business or executing the Expansion Project and shall foresee any known or expected future changes in the requirements and take all reasonable actions to ensure compliance. As part of giving effect to the foregoing, the Borrower shall ensure that it adheres to and aligns its operations and strategies with ESG disclosure requirements and best practices.

16.2. The Borrower shall provide promptly upon request (but, in any case, no later than 3 (three) business days after such a request is made) by the Lender, such information concerning material developments in respect of ESG disclosure requirements (including best practices).

16.3. The Borrower shall undertake to implement any ESG code or policy as the Lender may from time-to-time request in the event that the Lender (exercising its sole discretion) is not satisfied with any ESG measures undertaken by the Borrower.

16.4. In the event there is any pending, threatened or instituted ESG claim that is anticipated or pursued against the Borrower by any third-party, the Borrower shall proactively and promptly provide written details of such an ESG claim to the Lender.

17. **ANTI CORRUPTION**

17.1. Each Party hereby –

17.1.1. represents and warrants that it and its Personnel, have not, at any time, directly or indirectly, promised or offered; and

17.1.2. undertakes not to, directly or indirectly, promise or offer, and to procure that its Personnel, do not, directly or indirectly, promise or offer,

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donations, gifts or other benefits whatsoever in order to influence any Personnel of the other Party in the exercise of discretionary authority, in connection with any matter covered by the Funding Documents.

17.2. Each Party shall not do, or omit to do, any act that will cause such Party to be in breach of Applicable Laws, and in doing so shall not give or receive any bribes and shall procure that its Personnel, do not give or receive any bribes.

17.3. If at any time after the Signature Date –

17.3.1. the Lender has a reasonable suspicion that each of the Associated Parties has, in respect of any matter covered by the Funding Documents, directly or indirectly, promised or offered donations, gifts or other benefits whatsoever to the persons and for the purposes contemplated in clause 17.1 above, the Associated Parties shall be deemed to be in breach of the Funding Documents and the Lender shall be entitled, by written notice to the Associated Parties, to forthwith terminate the Funding Documents without any further liability to the Associated Parties, and the Associated Parties shall jointly and severally indemnify the Lender against any costs, claims and liabilities arising as a result of such breach; and

17.3.2. if a Party breaches its obligations under cause 17.2, the other Party shall be entitled, by written notice to the Party in breach, to forthwith terminate the Funding Documents without any further liability to the other Party, and the Party in breach shall indemnify the other Party against costs, claims and liabilities arising as a result of the breach.

18. SANCTIONS

18.1. The Borrower will not:

18.1.1. use the Loan Amount and/or any Advance for the purposes of financing the activities of any Sanctioned Entity;

18.1.2. make available the Loan Amount and/or Advance to any person who may use or intends to use the proceeds to finance the activities of any Sanctioned Entity;

18.1.3. act to benefit any Sanctioned Entity;

18.1.4. be involved in any Prohibited Activities; and

18.1.5. use any product or service provided by the Lender Group for any Prohibited Activities.

18.2. The Associated Parties warrants that neither it nor any of its Affiliates are:

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18.2.1. a Sanctioned Entity; or

18.2.2. the subject of any investigations relating to Sanctions.

18.3. The Associated Parties will notify the Lender in writing immediately upon becoming aware that it and/or its Affiliates are the subject of an investigation relating to Sanctions.

18.4. Each of the Associated Parties indemnifies the Lender against any fines, penalties, losses, damages, costs, actions, proceedings, claims and/or demands (losses) which the Lender may sustain in connection with:

18.4.1. the seizure or withholding of any funds by any Sanctioning Body or any other third party (including the Lender); and

18.4.2. the breach of this clause 18.

18.5. Notwithstanding any provision to the contrary contained in this Agreement, if the Lender knows or suspects that each of the Associated Parties is in breach of the provisions of this clause 18 and/or is or is about to become subject to Sanctions, the Lender will, in its sole discretion, be entitled with immediate effect to terminate this Agreement, the Funding Documents and/or any other relationship which the Lender may have with the Associated Parties.

18.6. The Lender will not be liable to the Associated Parties for any losses the Associated Parties may sustain in connection with the termination by the Lender of this Agreement, Funding Documents or any other relationship which the Lender may have with the Associated Parties.

18.7. For purposes of this clause the following definitions shall apply:

18.7.1. **Lender Group** means the Lender and its Affiliates;

18.7.2. **Prohibited Activities** means illegal or terrorist activities, money laundering and/or any activities which are subject to Sanctions or not in compliance with Applicable Laws;

18.7.3. **Sanctioning Body** means the United Nations Security Council (UNSC), the Office of Foreign Assets Control of the Department of Treasury of the United States of America (OFAC), the European Union (EU), Her Majesty's Treasury (HMT), the Ministry of Economy, Finance and Industry (France) (MINEFI) and/or any other sanctioning body recognised by the Lender from time to time;

18.7.4. **Sanctioned Entity** means:

18.7.4.1. any natural or juristic person or country;

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18.7.4.2. in the case of a juristic person, any person who (i) owns or controls it; or (ii) it owns or controls (and for these purposes, owns means holding any percentage of ownership or beneficial interest and controls means the ability, directly or indirectly and whether through the voting of shares, the appointment of directors or similar officers or through any other means, to control the business or policy of the relevant juristic person);

18.7.4.3. in the case of any country, its ministries, departments, agencies and/or any other governmental organisations, listed on any Sanctions List and/or who is subject to any Sanctions.

18.7.5. **Sanctions** means any measures imposed by a Sanctioning Body, including but not limited to diplomatic, travel, trade and/or financial sanctions or embargoes; and

18.7.6. **Sanctions List** means any list of Sanctioned Entities published by a Sanctioning Body, as updated from time to time.

19. **FRAUD**

19.1. If, at any time during the existence of the Funding Documents, the Lender, in its reasonable discretion determines, based on *prima facie* evidence, that each of the Associated Parties has, in respect of this Agreement -

19.1.1. acted dishonestly and/or in bad faith; and/or

19.1.2. made any intentional or negligent misrepresentation to the Lender, whether in any negotiations preceding the conclusion of or in the execution of the Funding Documents between the Parties,

then in such an event the Lender shall be entitled, by written notice to the Associated Parties, to forthwith terminate the Funding Documents.

19.2. Upon such termination the Lender shall be entitled, in addition to all other remedies available to it, to recover from the Associated Parties all damages it has suffered by virtue of such conduct by the Associated Parties.

20. **ARBITRATION**

20.1. Save as otherwise provided herein, should any dispute arise between the Parties in connection with:

20.1.1. the existence of;

20.1.2. the implementation of;

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20.1.3. the interpretation or application of the provisions of;

20.1.4. the Parties respective rights and obligations in terms of or arising out of the conclusion, breach or termination of;

20.1.5. the validity, enforceability, rectification, termination or cancellation, whether in whole of in part of; and

20.1.6. any documents furnished by the Parties pursuant to the provisions of,

this Agreement or which relates in any way to any matter affecting the interests of the Par ties in terms of this Agreement, such dispute shall, unless resolved amongst the Parties to the dispute, be referred to and be determined by arbitration in terms of the Rules of the Ar bitration Foundation of Southern Africa ("**AFSA**") and failing any such rules, shall be governed by the arbitration laws in force in South Africa from time to time.

20.2. Any party to this Agreement may demand that a dispute be determined in terms of this clause 16 by written notice given to the other Parties.

20.3. This clause 20 shall not preclude any party from obtaining interim relief by way of motion proceedings on an urgent basis from a court of competent jurisdiction pending the decision of the arbitrator.

20.4. The Parties hereby consent to the arbitration being dealt with in terms of the expedited Rules of arbitration of AFSA.

20.5. The arbitrator shall be, if the matter in dispute is principally:

20.5.1. a legal matter, a practising advocate or attorney or retired judge of Johannesburg of at least 10 (ten) years standing;

20.5.2. an accounting matter, a practising chartered accountant of Johannesburg of at least 10 (ten) years standing; and

20.5.3. any other matter, any independent person, agreed upon between the Parties to the dispute.

20.6. Should the Parties to the dispute fail to agree whether the dispute is principally a legal, accounting or other matter within 7 (seven) days after the arbitration is demanded, the matter shall be deemed to be a legal matter.

20.7. Should the Parties fail to agree on an arbitrator within 14 (fourteen) days after the giving of notice in terms of clause above, any of the Parties shall be entitled to request the Chairman for the time being of AFSA to make the appointment during the ensuing seven day period, and who, in making the appointment, shall have regard to the nature of the

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dispute and the Parties' requirement for a speedy arbitration. Preference shall, in relation to the appointment of the arbitrator, be given to nominees of the Parties.

20.8. The arbitration shall take place in Johannesburg with only the Parties and their representatives being present.

20.9. The arbitration shall be determined in accordance with the provisions of South African law and the Parties submit to South African jurisdiction for the purpose of this arbitration.

20.10. The decision of the arbitrator shall be subject to a right of appeal by any Party in terms of Article 22 of the AFSA Rules and should such appeal be made, same shall be heard by an arbitration tribunal consisting of 3 (three) arbitrators who shall:

20.10.1. be persons of the same status as the person referred to in clause 20.5 above; and

20.10.2. be appointed in the manner referred to in clause above.

20.11. The decision of the arbitration tribunal shall, save in the event of manifest error, be final and binding on the Parties and shall be carried into effect and may be made an order of Court.

20.12. The Parties hereby consent to the jurisdiction of the High Court of South Africa, Gauteng Local Division in respect of the proceedings referred to in clause 20.3 and/or clause above.

20.13. The Parties agree to keep the arbitration including the subject-matter of the arbitration and the evidence heard during the arbitration confidential and not to disclose it to anyone except for purposes of an order to be made in terms of clauses 20.3 and 20.10 above.

20.14. The provisions of this clause 20:

20.14.1. constitute an irrevocable consent by the Parties to any proceedings in terms hereof and no party shall be entitled to withdraw therefrom or claim at any such proceedings that it is not bound by such provisions; and

20.14.2. are severable from the rest of this Agreement and shall remain in effect despite the termination of or invalidity for any reason of this Agreement.

20.15. The Parties agree that the written demand by any party in terms of clause20.2 above that the dispute be submitted to arbitration, is deemed to be a legal process for the purpose of interruption of extinctive prescription in terms of the Prescription Act, No. 68 of 1969.

20.16. Notwithstanding anything to the contrary contained herein, the Parties hereby agree that the Lender shall be entitled (but not obliged) to demand the payment of security of costs by the Borrower in the event that the Borrower were to rely on the provisions of this clause

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20 to pursue any arbitration or court process. Further, the Parties agree that the Lender shall be entitled to specify the amount that must be paid into the Attorney's trust account and the Borrower shall make payment as soon as possible but, in any case, no later than 3 (three) business days after the making of the concerned demand. To the extent that the Borrower fails or neglects to make payment as foresaid, the Borrower hereby agrees that it shall be precluded from any arbitration or court process as contained in this clause 20 until such time as it has fully complied.

21. **CONFIDENTIALITY**

Each Party undertakes to keep confidential and not to disclose to any third party, save as may be required by Applicable Law or permitted in terms of this Agreement, the nature, content or existence of this Agreement and any and all information given by a Party to another Party pursuant to this Agreement.

22. **CO-OPERATION**

The Parties undertake at all times to co-operate with each other in good faith in order to carry out this Agreement. The Parties further undertake not to take any action or to omit taking any action which will result in delaying or impeding the implementation of this Agreement.

23. **NOTICES AND DOMICILIA**

23.1. The Parties choose as their respective *domicilia citandi et executandi* for the purpose of legal proceedings and for the purposes of giving or sending any notice provided for or necessary in terms of this Agreement, the following physical and email addresses for each of them:

Name	**Physical Address**	**Email:**
Borrower	**[insert Beneficiary physical address].**	**[insert Beneficiary/contact person's email address].**

Name	**Physical Address**	**Email:**
Lender	[COMPANY ADDRESS]	[NAME]@[COMPANY NAME].co.za / [NAME]@[COMPANY NAME].co.za For all legal notices, a copy to legal@[COMPANY NAME].co.za

provided that a Party may change its *domicilium* to any other physical address or email address within South Africa by written notice to the other Party.

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23.2. All notices to be given in terms of this Agreement will be in writing and will -

23.2.1. if delivered by hand during business hours, be rebuttably presumed to have been received on the date of delivery. Any notice delivered after business hours or on a day which is not a business day will be rebuttably presumed to have been received on the following business day; and

23.2.2. if sent by email during business hours, be rebuttably presumed to have been received on the date of successful transmission of the email. Any email sent after business hours or on a day which is not a business day will rebuttably be presumed to have been received on the following business day.

23.3. Notwithstanding the above, any notice given in writing, and actually received by the Party to whom the notice is addressed, will be deemed to have been properly given and received, notwithstanding that such notice has not been given in accordance with the provisions of this Clause 23 (*Notices and Domicilia*).

24. **CESSION AND ASSIGNMENT**

24.1. Neither this Agreement nor any part, share or interest herein, nor any rights or obligations hereunder may be ceded, assigned, transferred by the Borrower without the prior written consent of the Lender (which consent may not be unreasonably withheld).

24.2. The Borrower is aware and, in contemplation thereof, agrees that all the Lender's rights in terms of this Agreement may at any time during the Term be ceded to a third party without the prior approval of the Borrower, and the Borrower agrees to execute any such document as may be reasonably required by the Lender in order to record the terms and conditions governing such cession and to give effect thereto. To the extent that any such cession, assignment and/or transfer results in a splitting of claims against the Borrower, the Borrower hereby consents to such splitting of claims.

25. **SEVERABILITY**

Each provision of this Agreement is severable from the other provisions. Should any provision be found by a court of competent jurisdiction to be illegal, invalid or unenforceable for any reason, the Parties will consult with one another in good faith in order to agree, if possible, an alternative provision in accordance with the intent and tenor of this Agreement. The remaining provisions of this Agreement shall nevertheless remain binding and continue with full force and effect.

26. **GENERAL**

26.1. **Whole Agreement**

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26.1.1. This Agreement constitutes the whole of the agreement between the Parties relating to the matters dealt with herein and, save to the extent otherwise provided herein, no undertaking, representation, term or condition relating to the subject matter of this Agreement not incorporated in this Agreement shall be binding on either of the Parties.

26.1.2. This Agreement supersedes and replaces any and all agreements between the Parties (and other persons, as may be applicable) and undertakings given to or on behalf of the Parties (and other persons, as may be applicable) in relation to the subject matter hereof.

26.2. **Variations to be in Writing**

No addition to or variation, deletion, or agreed cancellation of all or any Clauses or provisions of this Agreement will be of any force or effect unless in writing and signed by the Parties. Any communication by the Parties via email, short message service, WhatsApp, or any written communication on any social media platform shall not be construed as an amendment and/or addition to this Agreement unless the Parties specifically agree that such communication shall be incorporated into this Agreement and signed by both Parties.

26.3. **No Indulgences**

No latitude, extension of time or other indulgence which may be given or allowed by any Party to the other Parties in respect of the performance of any obligation hereunder, and no delay or forbearance in the enforcement of any right of any Party arising from this Agreement, and no single or partial exercise of any right by any Party under this Agreement, shall in any circumstances be construed to be an implied consent or election by such Party or operate as a waiver or a novation of or otherwise affect any of the Party's rights in terms of or arising from this Agreement or estop or preclude any such Party from enforcing at any time and without notice, strict and punctual compliance with each and every provision or term hereof.

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26.4. **Continuing Effectiveness of Certain Provisions**

The expiration or termination of this Agreement shall not affect such of the provisions of this Agreement as expressly provide that they will operate after any such expiration or termination or which of necessity must continue to have effect after such expiration or termination, notwithstanding that the Clauses themselves do not expressly provide for this.

26.5. **Independent Advice**

26.5.1. Each of the Parties hereto confirms and acknowledges that they have been free to secure independent legal advice as to the nature and effect of all of the provisions of this Agreement and that they have either taken such independent legal advice or dispensed with the necessity of doing so.

26.5.2. Further, each of the Parties hereto acknowledges that all of the provisions of this Agreement and the restrictions herein contained are fair and reasonable in all the circumstances and are part of the overall intention of the Parties in connection with this Agreement.

27. **APPLICABLE LAW**

27.1.1. This Agreement will in all respects be governed by and construed under the laws of South Africa.

27.1.2. The Parties agree that any dispute regarding this Agreement will first be dealt with in terms of arbitration in clause 16 above. Failing resolution via arbitration, the Borrower agrees that any legal action or proceedings arising out of or in connection with this Agreement may be brought against it in the High Court of South Africa, Gauteng Local Division (or any successor to that court) and irrevocably submits to the non-exclusive jurisdiction of such court. The Borrower irrevocably waives any objection it may now or hereafter have that such action or proceeding has been brought in an inconvenient forum. Nothing herein shall affect any of the rights of the Lender to serve process in any manner permitted by law. The submission to such jurisdiction shall not (and shall not be construed so as to) limit the right of the Lender to take proceedings against the Borrower in whatever other jurisdiction the Lender consider appropriate nor shall the taking of proceedings in any one or more jurisdictions preclude the taking of proceedings in any other jurisdiction whether concurrently or not.

27.1.3. The Parties agree that any costs awarded will be recoverable in accordance with the High Court tariff, determined on an attorney-and-own-client scale.

28. **BENEFIT OF THIS AGREEMENT**

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This Agreement will inure for the benefit of and be binding upon the successors in title and permitted assigns of the Parties or any of them.

29. **COSTS**

Each Party will bear and pay the costs of and incidental to the negotiating, drafting and implementing of this Agreement and any amendment thereof in equal shares.

30. **SIGNATURE**

30.1.1. This Agreement is signed by the Parties on the dates and at the places indicated below.

30.1.2. This Agreement may be executed in counterparts, each of which shall be deemed an original, and all of which together shall constitute one and the same Agreement as at the date of signature of the Party last signing one of the counterparts.

30.1.3. The persons signing this Agreement in a representative capacity warrant their authority to do so.

30.1.4. The Parties record that it is not required for this Agreement to be valid and enforceable that a Party shall initial the pages of this Agreement and/or have its signature of this Agreement verified by a witness.

SIGNED by the parties on the following dates and at the following places respectively:

FOR **[COMPANY NAME]**

Signature: ______________________

Signed by yyyy
who warrants that he / she is duly authorised thereto
2026-05-07T06:40:09.371Z

Name: dfggd

Date: 2026-05-07

Place: dgdgdgd

FOR **[INSERT BENEFICIARY NAME] PROPRIETARY LIMITED**

Signature: ______________________

Signed by yyhyh
who warrants that he / she is duly authorised thereto
2026-05-07T06:39:57.158Z

Name: fffh

Date:	2026-05-07
Place:	ffhfhhgf

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WRITTEN RESOLUTIONS OF THE BOARD OF DIRECTORS OF [INSERT BENEFICIARY NAME] PROPRIETARY LIMITED (REGISTRATION NO. [INSERT BENEFICIARY REG.NO]) (THE "COMPANY") ADOPTED IN TERMS OF SECTION 74 OF THE COMPANIES ACT, 2008 ("Companies Act")

1. **IT IS NOTED THAT:**

1.1 section 74(1) of the Companies Act provides that, except to the extent that the Company's MOI provides otherwise, a decision that could be voted on at a meeting of the board of directors of the Company may instead be adopted by written consent of a majority of the directors, given in person, or by electronic communication, provided that each director has received notice of the matter to be decided;

1.2 section 73(5)(*a*)(iii) of the Companies Act provides that, *inter alia*, except to the extent that the Company's MOI provides otherwise, if all of the directors of the Company waive notice of the meeting, the meeting may proceed even if the Company failed to give the required notice of that meeting; and

1.3 The Company is desirous of entering into a number of financing agreement(s) with [COMPANY NAME] (RF) Proprietary Limited ("**[COMPANY NAME]**") as part of the Lender funding the capital expenditure and working capital requirements of the Company.

2. RESOLUTIONS:

1.1 **Ordinary resolution number 1**

IT IS HEREBY RESOLVED that the board of directors of the Company hereby unanimously waive notice of the meeting in terms of section 73(5)(a)(*iii*) of the Companies Act.

1.2 **Ordinary resolution number 2**

IT IS HEREBY RESOLVED that the Company be and is hereby empowered and authorised to conclude a funding loan agreement (including any ancillary documentation connected therewith) with the Lender ("**Funding Agreement**").

1.3 **Ordinary resolution number 3**

RESOLVED AS AN ORDINARY RESOLUTION that, any director of the Company be and is hereby authorised and empowered to negotiate, conclude or sign any agreement (including the Funding Documents) between the Company and the Lender and to generally do all such things and sign all such documents as are necessary, requisite and incidental to give effect to and implement the resolutions contained herein. To the extent that any such actions have already been effected or performed by any director of the Company, for and on behalf of the Company, such actions be and are hereby authorised and ratified.

____
Name: xxxxxxxxx

Date: __________________ 202____

____
Name: xxxxxxxxxxx

Date: ____________________202__

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WRITTEN RESOLUTIONS OF THE BOARD OF DIRECTORS OF [INSERT GUARANTOR NAME] PROPRIETARY LIMITED (REGISTRATION NO. [INSERT GUARONTOR REG.NO]) (THE "COMPANY") ADOPTED IN TERMS OF SECTION 74 OF THE COMPANIES ACT, 2008 ("Companies Act")

We, the persons whose names appear below and who have signed this document (or other document in the same form), being a majority of the directors of the Company, hereby adopt by written consent, given in person or by electronic communication, the following resolutions in terms of section 74 of the Companies Act.

1. WHEREAS:

1.1. The Company intends to enter into:

1.1.1. a written agreement entitled "*Limited Guarantee*" with [COMPANY NAME] pursuant to which, *inter alia*, the Company guarantees in favour of [COMPANY NAME] (RF) Proprietary Limited ("**[COMPANY NAME]**"), as a principal obligation, all of the obligations of [insert beneficiary Name] Proprietary Limited ("**Borrower**") under the Funding Documents (as defined therein) (the "**Guarantee**); and

1.1.2. all other agreements and/or documents related and/or ancillary thereto,

(collectively referred to as the "**Relevant Documents**" and each a "**Relevant Document**" and the transactions contemplated therein referred to as the "**Transaction**").

1.2. Capitalised terms and expressions used in these resolutions and not otherwise defined shall, unless the context indicates otherwise, bear the same meaning as ascribed thereto in the Relevant Documents (as applicable).

1.3. Each director has received a substantially agreed-form copy or the latest copy of the Relevant Documents for his/her consideration.

1.4. The Company now wishes to, amongst other things, enter into all such documents and perform all such actions as may be required in relation to the Relevant Documents (the "**Transaction**"), including, but not limited to, incurring liabilities as a principal obligor by providing "*financial assistance*" (as defined in section 45 of the Companies Act) to any related or inter-related party and/or to any person, as the case may be (the "**Financial Assistance**"), and making a "*distribution*" (as defined in the Companies Act) (a "**Distribution**") for the purpose of and in connection with the Transaction and as contemplated in the Relevant Documents.

1.5. It is recorded that the provision of the Financial Assistance by the Company, *inter alia*, has been approved by a special resolution of the shareholders of the Company in accordance with sections 44 and/or 45 of the Companies Act.

1.6. Each director of the Company has confirmed that:

1.6.1. he/she does not have any personal financial interests, as contemplated under section 75 of the Companies Act in the transactions contemplated by and under the Relevant Documents;

1.6.2. he/she is not aware that any person who is a "*related person*" in relation to such director (as such term is construed under section 75(1)(b) read with section 1 of the Companies Act) has such personal financial interests;

1.6.3. confirms, for the purpose of making and confirming the disclosures contemplated above and for the purpose of exercising any vote in respect of the resolutions contemplated herein, that he/she has received due and proper notice of the matters to be decided in terms hereof, as contemplated in section 74(1) of the Companies Act; and

1.6.4. provides his/her written consent in respect of the resolutions contained herein, such that the resolutions set out in this document are passed by the directors of the Company in accordance with section 74 of the Companies Act.

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2. ACCORDINGLY, IT IS RESOLVED AS FOLLOWS:

2.1. **RESOLUTION NUMBER 1**

THAT the board of directors of the Company (the "**Board**") approves the terms of, and the transactions contemplated by, the Relevant Documents to which the Company is a party and the Company be and is hereby authorised to enter into and perform its obligations under:

2.1.1. the Relevant Documents to which it is a party;

2.1.2. any other agreements, documents or instruments related to the Relevant Documents and to which the Company is a party together with any other agreements, deeds or documents which may be incidental or related to the transactions or agreements referred to above; and any amendments, restatements or novations to the documents listed above,

(the "**Approved Documents**").

2.2. **RESOLUTION NUMBER 2**

THAT the Board has considered the provisions of the Financial Assistance; has considered all reasonably foreseeable financial circumstances of the Company, which are based on accounting records and financial statements satisfying the requirements of the Companies Act; has considered a fair valuation of the Company's assets and liabilities, including any reasonably foreseeable contingent assets and liabilities of the Company; has not considered any other valuation of the Company's assets and liabilities; and has considered the memorandum of incorporation to ascertain whether the memorandum of incorporation contains any terms, conditions and/or restrictions in respect of the granting of any financial assistance; and the Board is satisfied that:

2.2.1. immediately after providing the Financial Assistance, the Company will satisfy the solvency and liquidity test (as contemplated in section 4 of the Companies Act) (the "**Solvency and Liquidity Test**");

2.2.2. the terms under which the Financial Assistance is proposed are fair and reasonable to the Company; and

2.2.3. all terms, conditions and restrictions in the memorandum of incorporation in respect of the granting of any financial assistance have been satisfied.

2.3. **RESOLUTION NUMBER 3**

THAT the Board hereby authorises the Company to provide the Financial Assistance for the purpose of and in connection with the Transaction and as contemplated in the Approved Documents and in respect of certain financing arrangements in respect thereof.

2.4. **RESOLUTION NUMBER 4**

THAT in accordance with the provisions of section 46 of the Companies Act:

2.4.1. the Board acknowledges that it has applied the Solvency and Liquidity Test and reasonably concluded that the Company will satisfy the Solvency and Liquidity Test immediately after making any Distribution for the purpose of and in connection with the Transaction and as contemplated in the Approved Documents and in respect of certain financing arrangements in respect thereof; and

2.4.2. the Company be and is hereby authorised to make any Distribution for the purpose of and in connection with the Transaction and as contemplated in the Approved Documents and in respect of certain financing arrangements in respect thereof.

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2.5. **RESOLUTION NUMBER 5**

THAT any director of the Company (the "**Authorised Signatory**"), be and is hereby authorised to:

2.5.1. settle the terms of and sign the Approved Documents;

2.5.2. settle any other documents or powers of attorney which may be necessary for the implementation of the Approved Documents;

2.5.3. settle the terms of and sign and/or despatch any other documents and notices to be signed and/or despatched by/or on behalf of the Company under or in connection with the Approved Documents;

2.5.4. generally do everything reasonably required or necessary for the implementation of the Approved Documents; and

2.5.5. settle the terms of and sign any and all documents or agreements necessary for the implementation of the transaction contemplated in the Approved Documents.

2.6. **RESOLUTION NUMBER 6**

THAT any agreements, deeds or documents signed by the Authorised Signatory acting under the authority of this and the preceding resolutions shall conclusively be deemed to be the agreements, deeds and documents authorised by this and the preceding resolutions.

2.7. **RESOLUTION NUMBER 7**

THAT to the extent that any Authorised Signatory has already signed any of the Approved Documents and/or any other documents which may be necessary for the implementation of the transactions contemplated under any of the Approved Documents on behalf of the Company his/her/their actions in this regard be and are hereby ratified.

____
Name:
Date:
Place:

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Name:
Date:
Place:

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Name:
Date:
Place:

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Name:
Date:
Place:

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WRITTEN RESOLUTIONS OF THE SHAREHOLDERS OF [INSERT GUARANTOR NAME] PROPRIETARY LIMITED (REGISTRATION NO. [INSERT GUARONTOR REG.NO]) (THE "COMPANY") ADOPTED IN TERMS OF SECTION 74 OF THE COMPANIES ACT, 2008 ("Companies Act")

The following resolutions are being submitted for consideration in terms of section 60 of the Companies Act to all the shareholders of the Company entitled to exercise voting rights in relation to the resolutions (the "**Shareholders**").

The Shareholders may vote for or against the resolutions, or abstain from voting, by completing and signing the form below. In terms of section 60(2) of the Companies Act, each resolution will have been adopted if it is supported by persons entitled to exercise sufficient voting rights for it to have been adopted as a unanimous resolution, a special resolution or an ordinary resolution, as the case may be**,** at a properly constituted shareholders meeting and, if adopted, has the same effect as if it had been approved by voting at a meeting.

1. WHEREAS:

1.1. The Company intends to enter into:

(i) a written agreement entitled "*Limited Guarantee*" with [COMPANY NAME] pursuant to which, *inter alia*, the Company guarantees in favour of [COMPANY NAME] (RF) Proprietary Limited ("**[COMPANY NAME]**"), as a principal obligation, all of the obligations of [Insert Beneficiary name] Proprietary Limited ("**Borrower**") under the Funding Documents (as defined therein) (the "**Guarantee**");

(ii) a written agreement entitled "*Pledge and Cession"* with, amongst others, [COMPANY NAME] pursuant to which, *inter alia*, the Company pledges its shares in the Borrower and cedes, *in securitatem debiti*, its claims in the Borrower in favour of [COMPANY NAME] on the terms and subject to the conditions contained therein (the "**Pledge**"); and

(iii) all other agreements and/or documents related and/or ancillary thereto,

(collectively referred to as the "**Relevant Documents**" and each a "**Relevant Document**" and the transactions contemplated therein referred to as the "**Transaction**").

1.2. Capitalised terms and expressions used in these resolutions and not otherwise defined shall, unless the context indicates otherwise, bear the same meaning as ascribed thereto in the Relevant Documents.

1.3. The Company also intends, amongst other things, to enter into all such documents and perform all such actions as may be required in relation to fulfilling its obligations as outlined in the Relevant Documents including, but not limited to, incurring liabilities as a principal obligor by providing "*financial assistance*" (as defined in section 45 of the Companies Act) to any related or inter-related party and/or to any person, as the case may be (the "**Financial Assistance**"), and making a "*distribution*" (as defined in the Companies Act) for the purpose of and in connection with the Loan and as contemplated in the Relevant Documents.

1.4. Pursuant to section 75 of the Companies Act, the directors of the Company have disclosed to the Shareholders, any and all personal financial interests that they may have in the transactions contemplated by each of the Relevant Documents and, in relation to any related person (including any affiliate of the Company of which such director is also a director), all the personal financial interests of that related person of which such director was aware together with any material information relating to the matter and known to such director.

1.5. In terms of section 75 of the Companies Act, a director who has disclosed a personal financial interest in respect of any matter to be considered by the board of directors of the Company (the "**Board**") may not take part in the consideration or approval of such matter by the Board.

1.6. The Company requires the Shareholders to consider the resolutions set out below pertaining to, amongst other things, the Financial Assistance.

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2. **ACCORDINGLY, THE SHAREHOLDERS RESOLVE AS FOLLOWS:**

2.1. **UNANIMOUS RESOLUTION NUMBER 1**

THAT the Shareholders of the Company hereby resolve that, with full knowledge of the nature and extent of the '*personal financial interests*' of the Board in the Relevant Documents, (i) the decisions taken and resolutions passed by the Board that relate to the Relevant Documents and (ii) the entry into and implementation by the Company of the Relevant Documents and all ancillary transactions, agreements, documents and matters, be and is hereby approved and ratified to the extent required by section 75 of the Companies Act. [***Drafting note: Delete/Adjust as may be necessary if there is no conflict as regards the directors***.]

2.2. **SPECIAL RESOLUTION NUMBER 1**

THAT any and all actions taken by the Company or any director of the Company in respect of the Transaction and entering into of the Relevant Documents (and matters ancillary thereto), to the extent that such actions and steps may be inconsistent with any limitation, restriction or qualification contained in the Company's memorandum of incorporation, be and are hereby ratified, confirmed and approved in accordance with section 20(2) of the Companies Act.

2.3. **SPECIAL RESOLUTION NUMBER 2**

THAT in terms of section 45 of the Companies Act, the Company be and is hereby authorised to provide the Financial Assistance for the purpose of and in connection with the Transaction and as contemplated in the Relevant Documents, including any amendments, restatements or novations to the Relevant Documents.

2.4. **ORDINARY RESOLUTION NUMBER 1**

THAT any director of the Company (including specifically any director that may have a personal financial interest or in respect of which a related person has a personal financial interest, who for purposes of section 75(5)(g) is hereby specifically requested and directed to do so), acting in his/her capacity as such, (each an **Authorised Signatory**) be and is hereby authorised and empowered –

2.4.1. to sign and/or to despatch any notice and/or other documents or notices to be signed and/or despatched by or on behalf of the Company under or in connection with the Financial Assistance (including the Relevant Documents and any amendments, restatements or novations thereto); and

2.4.2. to take all such steps and do all such other things and generally do everything that may be necessary to give effect to and/or implement the resolutions contained herein.

Note: Please indicate your vote with an "**X**" in the relevant column. If the shareholder wishes to abstain from voting, the representative should do so by marking the relevant resolution with an "**X**" in the "**Abstain**" column, which indicates that they have received notice of the proposed resolution but wish to abstain from voting on it.

	For	Against	Abstain
Unanimous Resolution number 1			
Special Resolution number 1			
Special Resolution number 2			
Ordinary Resolution number 1			

____
[INSERT NAME OF SHAREHOLDER 1] PROPRIETARY LIMITED
Name:
Designation:
Date:

DG DG

	For	Against	Abstain
Unanimous Resolution number 1			
Special Resolution number 1			
Special Resolution number 2			
Ordinary Resolution number 1			

____
[INSERT NAME OF SHAREHOLDER 2] PROPRIETARY LIMITED
Name:
Designation:
Date:

	For	Against	Abstain
Unanimous Resolution number 1			
Special Resolution number 1			
Special Resolution number 2			
Ordinary Resolution number 1			

____
[INSERT NAME OF SHAREHOLDER 3] PROPRIETARY LIMITED
Name:
Designation:
Date:

Certificate of Completion

ContractIQ — Tamper-evident Signing Record

Document Details

Document Name	Revised Funding Loan Agreement template (v2) [20022023].docx
Document ID	69fc30de68aa143aac6ed3c3
Status	Signed
Finalized At	Thu, 07 May 2026 06:40:10 GMT
SHA-256 Hash	49e5bc970b87cd119ce3427b71e08f4a395922e07014b8f3…

Signing Configuration

Signing Order	Parallel
Total Signers	2

Signer Records

Signer	Role	Method	Status	Signed At (UTC)
yyhy dikebalanga@gmail.com	Lender IP: ::ffff:127.0.0.1	drawn	**Signed**	Thu, 07 May 2026 06:40:09
yhyhyh langamind@gmail.com	Borrower IP: ::ffff:127.0.0.1	drawn	**Signed**	Thu, 07 May 2026 06:39:57

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